

THE EQUITY EXPRESSION OF THE OIL & GAS THESIS

The Crack, Not The Barrel

Crude oil settled at \$103.87 last Friday. That number is doing less work than it appears. The world is not short of crude so much as short of the plants that turn crude into diesel, and the price of the conversion has gone somewhere the price of the barrel has not. The US diesel crack spread closed at a record \$107.72 on 10 September, against a normal range nearer \$25.

On 16 September the Federal Reserve raised rates for the first time since 2023, citing energy-driven inflation. The question has shifted from where crude is heading to which part of the barrel is actually scarce, and who collects the difference.

A reframe worth holding onto

The internal view, from 13D Research: the refining bottleneck is no longer one part of the energy thesis but the whole of it. 13D quotes Jeff Currie's formulation — *"Stop looking at crude. Nobody consumes it but refineries... that consumption weighted basket costs \$165 against \$85 WTI. The bond market is reading inflation off the wrong screen."* This is 13D's view, not a forecast and not verified fact. It is stated here so it can be tested against the external record below, where it holds in part and fails in part.

METHOD. External figures come from primary or named sources and are dated where they appear: settlement prices from exchange reporting, refinery runs and inventories from the EIA Weekly Petroleum Status Report, company results from press releases and filings. Internal figures come from the Heyokha Wiki page *Oil & Gas* (created 23 June 2026, last reviewed 18 September 2026, 13,148 words) and are attributed to the named research provider throughout. Internal claims are that provider's opinions, labelled as views. Nothing internal is presented as verified.

Picture a country with full grain silos and half its mills burnt down. The wheat is there; anyone can buy it, and the wheat price barely moves, because nobody eats wheat. What people eat is bread, and bread now has to come through the mills that are still standing. Those mills run flat out, charge whatever they like, and the price of a loaf triples while the price of a bushel does not. A government watching the wheat price concludes there is no food crisis. A family buying bread knows otherwise. The barrel is the bushel, the refinery is the mill, diesel is the loaf — and the Federal Reserve, watching the wheat, has just raised rates.

THE STORY IN 60 SECONDS

\$107.72

Record close for the US diesel crack, 10 September, after the first-ever close above \$100 on 1 September. *Bloomberg and trade reporting.*

96.8%

US refinery utilisation in the week to 11 September, processing 17.3m b/d. Distillate output slipped to 5.2m b/d. *EIA Weekly Petroleum Status Report.*

\$103.87

Brent settlement, 18 September, down 0.9%; WTI settled at \$100.30. The barrel has moved far less than the crack. *Exchange settlements, 18 Sep 2026.*

WHAT ACTUALLY HAPPENED

A refining shortage that the crude price keeps disguising

Three things happened in the space of a fortnight. Refining margins on middle distillate broke every record in the series: the diesel crack closed above \$100 a barrel for the first time on 1 September at \$103.29, touched \$108.02 intraday the

next day, and closed at a record \$107.72 on 10 September. US refineries ran at 97.8 per cent of capacity in the week to 4 September and 96.8 per cent in the week to 11 September — effectively flat out — and still could not build stock. Distillate inventories were running some 13 per cent below the five-year average, the lowest end-of-August level since 2005 and the lowest for that month since 1951, and the EIA expects them below 100 million barrels through September and beneath the five-year low into 2027.

Second, the Federal Reserve raised its target range to 3.75–4.00 per cent on 16 September in a unanimous twelve-to-nil vote, its first increase in three years, recording that inflation remains elevated. Sixteen of eighteen participants project at least one further rise this year. The proximate cause was not wages but energy, which is the point at which the refining story stops being a sector story.

Third, and this is where the internal record runs ahead of the public one, 13D reported on 17 September that a source connected to the Saudi oil industry had confirmed damage to subsurface infrastructure and pumping stations on the Aramco East-West pipeline, with normal flows four to six weeks away, and put the diesel crack at an all-time high of \$111 over Brent — diesel at roughly \$210 a barrel. That is 13D's reporting, dated and attributed, and it is not something this edition can independently verify. What can be verified is the direction: every public series points the same way.

The mechanism underneath is not complicated and it is not new. The United States has not built a new refinery since the 1970s. 13D's page has tracked the consequence since 2022, arguing that upstream capital investment has fallen by roughly a third since 2015 because investors "will not put billions at risk for long-lived capital projects in conventional petroleum, if those projects are at risk of becoming stranded due to the energy transition." A system with no spare conversion capacity responds to any disruption in the same way — not by rationing the barrel, which is plentiful, but by repricing the product, which is not.

THE ESSENTIAL DISTINCTION

A crude shortage raises the price of the barrel. A refining shortage raises the price of the conversion, and leaves the barrel roughly where it was. *Brent is up modestly; the diesel crack is at four times its normal range. Anyone reading energy inflation off the crude screen is reading the one number in the complex that has not broken out.*

THE MECHANISM

Following one barrel to the pump

1. The barrel is available

OPEC+ completed the rollback of its voluntary cuts with a September increase, restoring 1.65m b/d, and signalled steady quotas for the rest of 2026. Crude itself is not the binding constraint: Brent settled at \$103.87 on 18 September.



2. The mill is the constraint

US refineries ran at 96.8% in the week to 11 September. 13D puts global refinery runs down roughly 5m b/d on strikes against Russian and Gulf plants. No new US refinery has been built since the 1970s, so lost capacity cannot be replaced.



3. Distillate clears on price

Diesel is the hardest cut to substitute. Stocks sit about 13% below the five-year average. With no volume response available, the market clears on margin: the crack closed at a record \$107.72 on 10 September.



4. It becomes everyone's cost

Diesel is an input to freight, farming and industry, so the crack propagates into food and goods prices. The Fed raised rates on 16 September citing elevated inflation — tightening into a shortage that no rate can refine away.

Sources: EIA Weekly Petroleum Status Report, weeks ending 4 and 11 September 2026; exchange settlements, 18 September 2026; OPEC+ reporting, August–September 2026; Heyokha Wiki, *Oil & Gas*, citing 13D WILTW of 10 and 17 September 2026. The refinery-run and pipeline figures in step 2 are 13D's reporting, not independently verified here.

4×

Roughly how far the diesel crack sits above its normal range of about \$25 a barrel. 13D calls it "four to six times its normal range, with records hit in five of the last six sessions". Internal view, 13D WILTW, 10 September 2026.

1951

The last time US distillate stocks were this low for the month of August. Inventories ran about 13% below the five-year average in September. Source: EIA and trade reporting, September 2026.

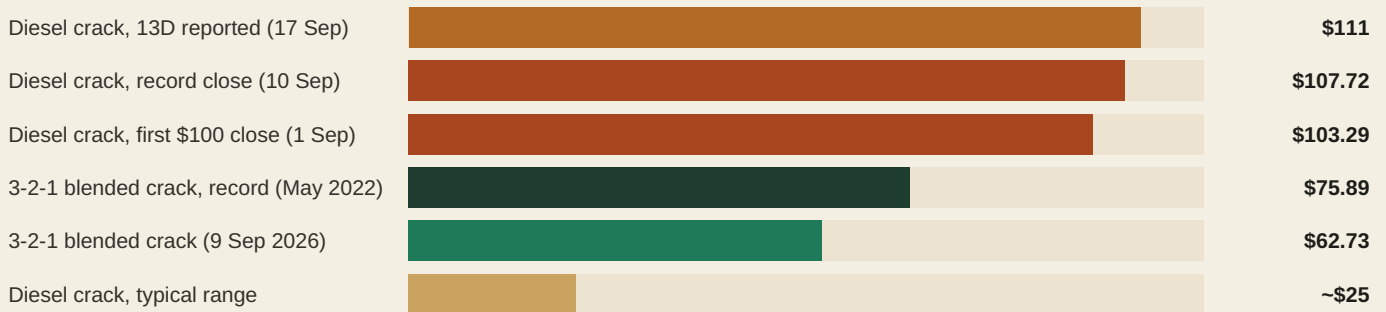
\$12.6bn

Combined second-quarter 2026 profit at Marathon Petroleum, Valero and Phillips 66 — the three US refiners positioned to collect the crack. Source: company results, Q2 2026.

The first figure is an internal characterisation by a named provider; the second and third are externally reported. They are placed together deliberately, because the internal claim is the one that requires the most caution.

THE CENTRAL COMPARISON

Which margin is actually at a record



All figures in US dollars per barrel. Bars are illustrative and scaled to a \$120 ceiling. The top bar is 13D's internal reporting of 17 September and is not independently verified; the rest are externally reported. The comparison carries the argument: the distillate crack is unprecedented, while the blended three-product refining margin is still some 17% below its May 2022 record. "Record refining margins" is true of a distillate-weighted refiner and materially less true of a gasoline-weighted one.

A USEFUL MENTAL MODEL

Treat the refinery as a toll booth on a road with no alternative route and no budget for new lanes. The toll is not set by the cost of the road. *It is set by how badly the traffic needs to get through, and by how many other booths have closed.*

WHAT HAS ACTUALLY SHIFTED

Five changes, each cutting both ways

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Scarcity has moved downstream	Diesel crack at a record \$107.72 on 10 September while Brent settled at \$103.87 on the 18th. US refineries ran at 96.8% in the week to 11 September and still could not build distillate stock.	It hands enormous operating leverage to complex refiners with distillate yield. It also means the bull case depends on capacity staying impaired: any repair, restart or demand slackening compresses the crack far faster than it compresses crude.
The Fed is tightening into it	Target range raised to 3.75–4.00% on 16 September, unanimously, first increase since 2023, with 16 of 18 participants projecting at least one more.	Tightening confirms that energy inflation is now a macro event rather than a sector story, which supports the internal thesis. It is also the mechanism most likely

		to break it, by destroying the industrial and freight demand that diesel serves.
Crude supply has been added, not withdrawn	OPEC+ completed the rollback of its voluntary cuts with a September increase restoring 1.65m b/d, and signalled steady quotas through the rest of 2026. A capacity reassessment covering 19 members concludes this month.	More crude into a refining bottleneck widens cracks rather than narrowing them, which is the internal argument. But it also rebuilds the visible buffer, and a market that can see spare capacity prices geopolitical risk less generously.
The equity response has already been large	Marathon Petroleum gained close to 110% across 2026, Valero more than 98% and Phillips 66 around 75%, against roughly 36% for the S&P 500 energy sector. XOP closed at \$190.61 on 18 September.	It validates the thesis and funds enormous buybacks — \$10bn at Phillips 66, \$5bn at Valero. It also means a great deal of the crack is now in the price, and the entry point today is not the entry point 13D's page was describing in 2024.
Sentiment has flipped to the other extreme	13D reports the crude Daily Sentiment Index at 87–91 over five days, and states its own exit condition as "record-extreme and entrenched optimism towards the energy sector".	The provider is candid about the tactical risk while holding the structural call, which is intellectually honest. But an exit condition defined by sentiment rather than price cannot be falsified by the tape, and the indicator it cites is already near the level it describes.

THE ARGUMENT ON BOTH SIDES

Bull and bear, stated fairly

The constructive case

- **The bottleneck is physical and slow to fix.** No new US refinery since the 1970s, and 13D puts global runs down roughly 5m b/d on strikes against Russian and Gulf plants. Conversion capacity cannot be willed into existence inside a price cycle.
- **Inventories leave no buffer.** US distillate stocks around 13% below the five-year average, the lowest August level since 1951, with the EIA expecting them beneath the five-year low into 2027.
- **The earnings are already real, not projected.** Marathon Petroleum, Valero and Phillips 66 earned a combined \$12.6bn in the second quarter; Phillips 66 posted \$9.41 a share against a \$7.50 consensus, roughly four times the year-ago quarter.
- **The starting point was record neglect.** 13D's argument rests on the base rather than the price: the advance began from record-low institutional allocation with the sector under 3% of the S&P 500, and most sector indices breaking out of near two-decade bases. "The bigger the base, the larger the move."
- **Upstream discipline persists.** US production has been flat around 13.8m b/d on 13D's four-week August average, with shale in what it calls a two-year bumpy plateau. Capital restraint is itself a supply constraint.
- **Independent corroboration exists.** CLSA's 11 September work calls refining "the biggest energy problem right now", and its analyst's read of 13 producer calls found tightening supply against resilient demand with new supply long-dated.

The sceptical case

- **The blended margin is not at a record.** The 3-2-1 crack was \$62.73 on 9 September, about 17% below its May 2022 peak of \$75.89. The spike is distillate-specific, so "record refining margins" overstates the position of any refiner not weighted to diesel.
- **Most of the move is in the price.** Marathon has roughly doubled and Valero nearly so during 2026. A thesis is not the same as an entry, and the page's most compelling accumulation language dates from the pessimism of 2024.
- **The provider's own indicator is at the exit level.** 13D puts the crude DSI at 87–91 while defining its exit as entrenched extreme optimism. This is the second consecutive week it has flagged high sentiment while raising the structural case.
- **Rate rises attack the demand side directly.** Diesel is a freight, farming and industrial input. The Fed is tightening explicitly because of energy, and the Wiki's own bear case concedes a deep enough recession would close the deficit.
- **Crude supply is being restored.** OPEC+ has rolled back the full 1.65m b/d of voluntary cuts and signalled stability. The barrel is not scarce, and a visible buffer usually erodes the risk premium.
- **The sharpest evidence is single-sourced.** The East-West pipeline damage, the five-to-seven-day export inventory and the \$111 crack come from one provider citing an unnamed contact. They may well be right; they are not corroborated in the public record this edition could reach.

Two readings of the word "record"

The clearest conflict is not about direction but about magnitude, and it matters for what an investor would actually own. 13D's 17 September note puts the diesel crack at an all-time high of \$111 over Brent with diesel near \$210 a barrel, and draws the equity conclusion that "refiners are likely to see expanding margins from surging diesel prices". The external record confirms the records — \$103.29 on 1 September, \$108.02 intraday on the 2nd, \$107.72 on the 10th — but also shows the blended 3-2-1 crack at \$62.73 on 9 September, roughly 17 per cent *below* its May 2022 record. Both statements are true. They describe different refiners. A distillate-weighted, high-complexity plant is earning something unprecedented; a gasoline-weighted one is earning less than it did in 2022. The internal page treats "refiners" as a single category and the external data does not support that, which is a real gap in the thesis as written rather than a quibble about a decimal. A second divergence sits alongside it: 13D's stated exit condition is entrenched extreme optimism, yet 13D itself reports the crude sentiment index at 87–91. This edition does not resolve either tension. It notes that the Wiki page's own "Contradictions" section currently reads "None yet", which for a thesis of this conviction and this provider concentration is itself worth recording.

WHAT TO WATCH FROM HERE

The dashboard

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Weekly distillate stocks	EIA publishes each Wednesday. Stocks are around 13% below the five-year average, with the agency expecting sub-100m barrels through September.	The single cleanest test. A build while refineries run near 97% would mean demand is cracking; a further draw means the squeeze has further to run.
The diesel crack against the 3-2-1	Distillate crack above \$100 versus a blended margin of \$62.73 on 9 September, still below its 2022 record.	Watching the two together separates a genuine refining crisis from a distillate-specific dislocation, and tells you which refiners are actually exposed to it.
Saudi East-West pipeline flows	13D reports damage with normal flows four to six weeks out. The line carries roughly 4m b/d to Yanbu, about 4% of global supply.	The most consequential and least corroborated claim on the page. Confirmation in the public record would validate the internal reporting; a quiet restoration would undercut the acute leg of the thesis.
Refinery utilisation	97.8% in the week to 4 September, easing to 96.8% a week later, with distillate output down to 5.2m b/d.	Running this hard for this long invites unplanned outages, and the autumn maintenance season is when capacity normally comes down. A run-rate fall would widen cracks further.
Third-quarter refiner results	Marathon Petroleum, Valero and Phillips 66 report in the coming weeks, following a combined \$12.6bn second quarter.	The crack is observable but the capture rate is not. Results will show how much of a record margin each configuration actually converted into cash.
The Fed's next move, and crude	Range at 3.75–4.00% with 16 of 18 participants projecting a further rise. Brent \$103.87 and WTI \$100.30 on 18 September.	Tightening driven by energy is the demand-destruction channel. If crude falls while cracks hold, the thesis is intact and improving; if both fall, it is over.

Coherent ways to hold the theme, and what each costs

Own the bottleneck

Hold the complex, distillate-weighted refiners that capture the crack directly, where the earnings are already reported rather than forecast. **The cost:** the entry is late — Marathon has roughly doubled this year — and the position is short refining capacity, so every plant repair, restart or new start-up works against it. Margins this far above normal are, historically, the thing that fixes itself.

Own the barrel instead

Take 13D's structural line and hold upstream and the broad sector — XOP, the Latin American majors — on depletion, underinvestment and the two-decade base. **The cost:** upstream is exposed to precisely the crude price that has *not* broken out, while OPEC+ has just restored 1.65m b/d. The technical targets are measured moves, not cash flows.

Treat it as a macro input

Decline the sector equity and use the diesel signal to inform positioning elsewhere — inflation, real yields, freight and food costs — which is the channel 13D itself emphasises. **The cost:** it is the least direct expression, it forgoes the earnings that are actually being reported, and if the bottleneck persists for years the sector compounds while the macro trade merely hedges.

The companies named in this edition are illustrative of the mechanics described. They are NOT recommendations, and nothing here constitutes advice to buy, sell or hold any security.

THE NAMES IN THE FRAME

XOP

SPDR S&P Oil & Gas Exploration & Production ETF

\$190.61 close
18 Sep 2026

The lead instrument of the internal thesis, and the largest position in the 13D Oil & Gas Index. 13D's measured target is the \$300 area, a double from its back-test of the \$150.37 breakout, which it framed as 53.7% upside from the level at the time of writing on 13 September. That is a technical projection by a named provider, not a valuation and not a forecast this edition endorses. The equal-weighted structure means small and mid-cap producers drive it more than the majors do.

WATCH NEXT

Whether upstream can advance while crude itself stays range-bound near \$100.

VLO

Valero Energy

+98% in 2026
as of Q3 reporting

The cleanest listed expression of the distillate crack. Valero beat consensus in the second quarter as widening spreads lifted the whole refining group, and authorised a further \$5bn of buybacks. Its complexity and product slate mean it captures more of a diesel-led margin than a gasoline-weighted peer would. The share price has very nearly doubled across 2026, which is both the evidence for the thesis and the argument against buying it here.

WATCH NEXT

Third-quarter capture rate — how much of a record crack actually reached earnings.

MPC

Marathon Petroleum

+110% in 2026
as of Q3 reporting

The largest US refiner by capacity and the strongest performer of the group, up close to 110% across 2026 against roughly 36% for the energy sector. It formed part of the combined \$12.6bn of second-quarter profit across the three big independents. Scale across the Gulf Coast and Mid-Continent gives it wide exposure to the distillate squeeze, and its midstream interest adds a second, steadier earnings stream that does not depend on the crack persisting.

WATCH NEXT

Whether autumn maintenance takes capacity down at the worst possible moment for supply.

PSX

Phillips 66

EPS \$9.41 vs \$7.50 est.
Q2 2026

The clearest single illustration of the operating leverage in a refining margin. Second-quarter earnings of \$9.41 a share against a \$7.50 consensus were roughly four times the year-ago quarter — a demonstration of what happens to a fixed-cost conversion business when the spread it earns quadruples. The company approved a \$10bn expansion of its buyback in July. The same leverage works in reverse, and with equal speed, if cracks normalise.

WATCH NEXT

Guidance on how long management expects margins to hold into 2027.

PBR

Petróleo Brasileiro — Petrobras

\$20.80 close
18 Sep 2026

Carries the strongest language 13D uses of any global Big Oil chart: of all the long-term charts it follows, PBR "appears to have among the most promising upside potential", with a measured target of the \$32 area from the \$15.86 back-test. Externally, Petrobras reported record operating and financial performance in the second quarter on record oil production, higher exports and refinery utilisation above 100% — a rare integrated producer capturing both the barrel and the crack. The internal target is a technical projection, not a verified valuation.

WATCH NEXT

Whether refinery utilisation above 100% can be sustained into the fourth quarter.

YPF

YPF Sociedad Anónima

\$54.96 close
18 Sep 2026

Argentina's largest oil and gas company and the fourth largest energy market capitalisation in Latin America. 13D identifies the 2005 all-time high of \$69.98 as the objective, some 26% above the level at which it was writing on 13 September. The Vaca Muerta shale resource is the underlying story, and it is one of the few places outside the United States where meaningful new supply is genuinely being added — which makes it a partial hedge against, rather than a pure expression of, the scarcity thesis.

WATCH NEXT

Argentine export infrastructure progress, which gates how much Vaca Muerta actually reaches market.

The bottom line

What has been repriced is not the barrel but the conversion. Brent at \$103.87 and WTI at \$100.30 are high without being remarkable; a diesel crack that closed at a record \$107.72, against a normal range near \$25, is remarkable by any measure. The scarcity has moved one step downstream, into a refining system that ran at 96.8 per cent of capacity in the week to 11 September and still could not build distillate stock, and which cannot add capacity because the United States has not built a refinery since the 1970s. The Federal Reserve raised rates on 16 September because of the resulting inflation, which is the clearest possible signal that this has stopped being a sector story.

The evidence is mixed in a specific and instructive way. The distillate crack is at an all-time high, but the blended three-product margin is 17 per cent below its 2022 record, so "record refining margins" is true of some refiners and false of others. The earnings are real — \$12.6bn across the three large independents in one quarter — but so is the fact that Marathon has roughly doubled this year, and that 13D's own sentiment indicator sits at the extreme it names as its exit condition. The reasonable inference is that the bottleneck is genuine and slow to repair, and that the cheap way to own it has already gone. The next tests are concrete: Wednesday's distillate inventory print, the autumn maintenance season, and third-quarter refiner results that will show how much of a record margin each configuration actually converted into cash.

Editorial note. This document is educational commentary prepared for internal use at Heyokha Brothers. It is not investment advice, not a recommendation, and not an offer or solicitation in respect of any security. Companies named are illustrative of the mechanisms discussed and are not recommendations to buy, sell or hold. All external figures are attributed and carry an as-of date; readers should verify against the primary source before relying on any figure. Internal Heyokha Wiki views are the opinions of the named research providers — principally 13D Research in this edition — and are labelled as views rather than forecasts throughout; measured price targets are technical projections by that provider and are not endorsed here. Where internal and external evidence conflict, the conflict is stated and left unresolved rather than adjudicated. Past performance and past commentary are not guides to future outcomes.

Sources and update notes

(a) Internal sources. Heyokha Wiki page *Oil & Gas* (slug *oil-and-gas*, type theme, status active, 13,148 words, created 23 June 2026, last reviewed 18 September 2026). Sections read: Thesis; What would change it; A global recession destroys demand; September 2026 — the refining bottleneck becomes the whole story; September 2026 — the energy breakout as the hard-asset "roadmap"; September 17, 2026 — the East-West pipeline is hit; Contradictions. Provider issues relied upon, with dates: 13D WILTW, 17 September 2026 (East-West pipeline damage, Houthi capture of Mokha and Perim Island, diesel crack at \$111 over Brent and diesel near \$210/bbl, ~4m b/d pipeline capacity, Bab el-Mandeb transit down over 25% since the 20 July blockade, Hormuz flows

50–60% below pre-war levels, crude DSI 87–91, XOP the largest position in the 13D Oil & Gas Index); 13D WILTW, 10 September 2026 (diesel crack first settling above \$100 at \$102.20, "four to six times its normal range", global refinery runs down ~5m b/d, US production 13.835m b/d on a four-week August average, the Currie quotation, the NYSE Oil Index 18-year base); 13D WATMTU, 13 September 2026 (the "roadmap" framing, XOP target \$300 / +53.7% from the \$150.37 back-test, XOP +55.0% in 2026 against 12.8% for the S&P 500, the 13D Oil & Gas Index +47.5% YTD, PBR target \$32 / +52% from the \$15.86 back-test, YPF target \$69.98 / +26%, Brent ladder of \$115.25, \$135 and the \$147.50 all-time high, the sentiment-not-price exit condition); 13D WATMTU, 6 September 2026; 13D WILTW, 9 June 2022 and 1 and 15 September 2022 (upstream capex down ~1/3 since 2015, the stranded-asset quotation, Rystad's 9% downward revision, LNG tightness); Greed & Fear, 17 September 2026 (Christopher Wood on the Saudi–Yemen strategic inversion, energy as "the only viable hedge", Brent at US\$106/bbl); Greed & Fear, 10 September 2026 (Brent above US\$100, the Mitsui OSK Lines chief executive on Hormuz not reopening to normal shipping until 2027); Goehring & Rozencwajg Q1 2026 commentary, published 19 May 2026 (≥15m b/d curtailed, ~6.5bn bbl headline non-SPR inventories against a ~5.4bn bbl minimum system requirement, ~1.1bn bbl realistically drawable, the IEA's 850,000 b/d "unaccounted for oil"); CLSA Bits & Pieces, 11 September 2026 (refining as "the biggest energy problem right now", Baden Moore's read of 13 producer calls).

(b) Limitation on the internal view. The *Oil & Gas* page is heavily concentrated in one provider. Of roughly sixty source references in its frontmatter, the large majority are 13D WILTW and WATMTU issues; Greed & Fear contributes a handful, Goehring & Rozencwajg one, CLSA one. The structural thesis, the technical framework, the measured targets and the acute pipeline reporting all originate with 13D, and several of the sharpest claims in this edition — the East-West pipeline damage, the five-to-seven-day Saudi export inventory, the \$111 crack — rest on a single provider citing an unnamed industry contact. The page's "Contradictions" section reads, in full, "None yet", so the internal record contains no counterweight to a thesis 13D has now held since February 2021. That absence is a limitation of the page, not evidence that the thesis is unopposed; this edition has therefore built the sceptical case primarily from external data and from tensions inside 13D's own reporting.

(c) External sources. (1) Exchange settlements, 18 September 2026: Brent \$103.87, down 0.9%; WTI \$100.30, down 1.6%. (2) Diesel crack spread: first close above \$100 at \$103.29 on 1 September 2026; record intraday \$108.02 on 2 September; record close \$107.72 on 10 September; Bloomberg reporting US diesel refining margins above \$106 a barrel. (3) 3-2-1 crack spread \$62.73 on 9 September 2026, approximately 17% below the record of \$75.89 set on 13 May 2022. (4) EIA Weekly Petroleum Status Report: week ending 4 September 2026, refinery runs 17.6m b/d at 97.8% utilisation, gasoline output 9.3m b/d, distillate production 5.3m b/d; week ending 11 September 2026, runs 17.3m b/d at 96.8% utilisation, gasoline 9.6m b/d, distillate 5.2m b/d; distillate stocks approximately 13% below the five-year average. (5) US distillate inventories on track for their lowest end-of-August level since April 2005 and the lowest for the month since 1951; EIA forecasting stocks below 100m barrels in September and beneath the 2021–2025 low through end-2026 and most of 2027. (6) Federal Open Market Committee statement, 16 September 2026: target range raised to 3.75–4.00% by a unanimous 12–0 vote, the first increase since 2023, recording that inflation remains elevated; projections show 16 of 18 participants anticipating at least one further increase in 2026. (7) OPEC+: the September increase completed the rollback of the 1.65m b/d of voluntary cuts introduced in April 2023, with the alliance signalling steady quotas for the remainder of 2026; a capacity reassessment covering 19 of 22 members concludes in September 2026 and will set the reference for 2027 quotas. (8) Q2 2026 refiner results: Marathon Petroleum, Valero and Phillips 66 generated combined profits of \$12.6bn; Phillips 66 reported \$9.41 per share against a \$7.50 consensus, roughly four times the year-earlier quarter, and approved a \$10bn expansion of its buyback in July; Valero authorised a further \$5bn. (9) 2026 share performance as reported alongside those results: Marathon Petroleum up close to 110%, Valero more than 98%, Phillips 66 around 75%, against approximately 36% for the S&P 500 energy sector. (10) Closing prices, 18 September 2026: XOP \$190.61 against a previous close of \$192.59; Petrobras \$20.80, down 0.67%; YPF \$54.96, up 0.88%. (11) Petrobras Q2 2026: record recurring net profit and record gross profit on record oil production, increased exports and refinery utilisation above 100%. Note that the external record and the internal record disagree on the magnitude and timing of the peak diesel crack; both are reported above rather than reconciled.

(d) Editorial choices in this automated run. This edition supersedes an earlier one issued the same morning. The scheduled run began while the Heyokha Wiki MCP server was not present in the session, and the fallback path in the task specification was followed: the topic was selected from external signals and the resulting edition, *Builder Buydowns* — "*The Mortgage in the Margin*", was produced and distributed with the tool failure disclosed throughout. The Wiki subsequently became available, the proper Step 3 procedure was run, and it returns a different topic — so the earlier edition has been withdrawn from the archive folder and replaced by this one. The Slack post and PDF from that run remain in the channel and cannot be deleted; the supersession is noted there. The selection procedure as actually run: 22 source summaries published on or after 31 August 2026 were scored, awarding three points for an appearance in a source published within three days, two within seven and one within twenty-one, with three bonus points for an entity named in a source title. The leading entities were us-treasuries and ai-capex on 21 points each, gold on 19, bond-bear-market on 17 and kevin-warsh on 15. Walking that ranking against the 78 active theme pages and the 30-day cooldown set: us-treasuries, bond-bear-market and kevin-warsh are not themes; ai-capex was published on 8 September and gold on 26 August, both inside cooldown. The first eligible theme is *oil-and-gas* on 12 points, boosted by its appearance in the title of 13D's 13 September WATMTU, "Energy's breakout as the roadmap". Its last edition was 7 August 2026, forty-five days ago, so it is outside cooldown. The cooldown set itself, read directly from the archive folder and covering editions published on or after 22 August 2026, comprises Memory Supercycle, Rare Earth Magnets, Gold, Humanoid Robots, Iran War, Coal, Grain Supply Shock, Yen Carry Trade, Power Affordability, AI Debt Financing, Silver Miners, Stagflation, Drone Tariffs, Term Premium, AI Capex, Defense, Optical Interconnect, China Biotech and Freight Modal Shift; the remote-devices bridge was unavailable, so the folder was read from the mounted filesystem instead. Within the topic, the refining and diesel angle was chosen over the broader upstream thesis because it is where the newest internal material sits — the 17 September pipeline section — and because it is the part of the thesis the external record can most sharply test. No figure in this edition is unverified except where explicitly attributed to a provider as that provider's own reporting; where a number could not be traced it was dropped rather than estimated.